

		Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276.) Such allegations are not contained in the operative Complaint. Given the above, the Court finds that Plaintiff has not alleged a cause of action for fraudulent inducement – concealment because Plaintiff has not alleged the requisite transactional relationship that creates a duty to disclose. The Demurrer to the fifth cause of action for fraudulent inducement – concealment is SUSTAINED WITH LEAVE TO AMEND. Defendant to give notice.
102	Edwards vs. City of Dana Point 26- 01563072	Demurrer to Complaint Off Calendar -Notice of Withdrawal filed
103	Liu vs. Tran 25-01487015	1. Demurrer to Second Amended Complaint 2. Case Management Conference Defendant Kimberly Tran (“Kimberly”) demurs to the Second Amended Complaint (SAC) of plaintiff Shu Xia Liu (“Plaintiff”) on the ground that the seventh cause of action for aiding and abetting forgery fails to plead sufficient facts. For the reasons set forth below, the Demurrer is OVERRULED. Kimberly argues that Plaintiff has failed to plead that she had actual knowledge that a tort was being committed. In Casey v. U.S. Bank National Assn. (2005) 127 Cal.App.4th 1138, the court considered the issue of whether the knowledge element of an aiding and abetting claim had been sufficiently alleged. The plaintiffs asserted a claim for aiding and abetting

	breach of fiduciary duty against banks used in a scheme to divert investor funds and alleged that the banks knew of the breaches of fiduciary duty and assisted by allowing the misconduct. The court held that the allegations were insufficient because they failed to establish that the banks had actual knowledge of the primary violation in which they purportedly participated. (127 Cal.App.4th at p. 1148.) The court explained that while the banks may have been suspicious about certain account activities, mere suspicion alone does not give rise to tort liability. (Id. at p. 1151.) The court further noted that, on the other hand, had the plaintiffs alleged that the banks knew that corporate funds were being stolen and knowingly assisted in its laundering, those allegations would suffice to state a claim for aiding and abetting. (Ibid.) In Neilson v. Union Bank of California, N.A. (C.D. Cal. 2003) 290 F.Supp.3d 1101, the court held that the complaint adequately alleged that the defendant banks had actual knowledge of the primary violation, a Ponzi scheme that defrauded investors out of millions of dollars. (Id. at p. 1120.) The Neilson court noted that the complaint alleged that the banks actively participated in the conduct by their utilization of atypical banking procedures to service the accounts, and noted that the necessary knowledge for aiding and abetting could be inferred based on those allegations. (Id. at pp. 1120-1121.) Plaintiff alleges that Kimberly notarized a January 2023 Power of Attorney which states that Plaintiff personally appeared before Kimberly. However, Plaintiff never personally appeared before Kimberly to sign the January 2023 POA and Plaintiff's signature on the January 2023 POA was forged. Plaintiff alleges that Kimberly falsely certified under penalty of perjury that Plaintiff personally appeared before her "despite knowing that Plaintiff did not actually appear and
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even though Kimberly knew or should have known that this POA was intended for unlawful and fraudulent purposes.” (SAC ¶ 86.) “Despite this knowledge, Defendant Kimberly notarized the January 2023 POA, thereby giving it the appearance of authenticity.” (SAC ¶ 87.) Plaintiff alleges that Kimberly’s notarization substantially assisted with the commission of the forgeries and was a substantial factor in causing Plaintiff harm. (SAC ¶ 88.)

Here, Plaintiff alleges that Kimberly knew that Plaintiff did not actually appear before her and still falsely certified under penalty of perjury that Plaintiff did appear before her in the Notary Acknowledgment attached to the January 2023 POA. (SAC ¶ 86.) At the demurrer stage, this allegation is accepted as true and it is irrelevant whether Plaintiff can prove the factual allegations at this stage. Plaintiff’s allegation that Kimberly had actual knowledge that Plaintiff did not appear before her and still falsely certified that Plaintiff had appeared supports an inference of the necessary knowledge for aiding and abetting at this stage. Plaintiff’s allegations, accepted as true, also show that Kimberly gave substantial assistance to the alleged forgery.

Kimberly argues the unqualified allegation regarding knowledge only shows that Kimberly knew the signer was not personally present when she notarized the document, which is not the same as knowledge that the document was forged or that a fraud was being perpetrated. This argument lacks merit. By notarizing the January 2023 POA, Kimberly attested that it was Plaintiff who personally appeared before Kimberly or presented satisfactory evidence to be the person who executed the document. If she did so with knowledge that it was not actually Plaintiff who presented the document, Kimberly had to have known that a fraud

	was taking place and should have refused to notarize the document. Again, this depends on whether Plaintiff can prove her allegations but at the demurrer stage, the allegations are sufficient. Kimberly argues that forgery is a crime and there is no freestanding civil tort of forgery. Kimberly cites no legal authority in support of the argument that forgery cannot be used as the underlying tort of an aiding and abetting claim. Further, forgery is a species of fraud, which is an intentional tort that may underlie an aiding and abetting claim. (See O'Bryan v. Superior Ct. of Los Angeles Cnty. (1941) 18 Cal.2d 490, 497; see also (Saunders v. Superior Court (1994) 27 Cal.App.4th 832, 846.) Thus, this argument is not persuasive. Kimberly argues that the allegations conflict with Exhibit 3 to the SAC, which is a copy of the January 2023 POA. However, she provides no cogent explanation as to any conflict. While, under the January 2023 POA, Kimberly attested that Plaintiff personally appeared before her, this is not inherently in conflict with the allegation that Kimberly knew at the time that the attestation was false and Plaintiff had not personally appeared before her. Kimberly also argues that the SAC is uncertain. However, demurrers for uncertainty “are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (Lickiss v. Fin. Indus. Regulatory Auth. (2012) 208 Cal.App.4th 1125, 1135.) Here, the SAC is not incomprehensible. Thus, this argument is rejected. Considering all the above, Kimberly’s demurrer to the SAC is OVERRULED. Kimberly is ORDERED to file an answer to the SAC within 20 days. Moving party to give notice
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